CATL (300750.SZ)

Earnings Review: 2Q26 results inline; demand outlook reaffirmed; largest A-share buyback announced to date; Buy

300750.SZ	12m Price Target: **Rmb565.00**	Price: **Rmb383.01**	Upside: **47.5%**
3750.HK	12m Price Target: **HK$947.00**	Price: **HK$622.00**	Upside: **52.3%**

BUY

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CATL reported 2Q26 results after market close on July 24 and hosted an analyst call later that night. Net profit reached Rmb22.55bn in 2Q26, up 36% yoy, in line with our estimate and market expectations of Rmb22-23bn. The company also announced a Rmb20-40bn share buyback plan—**the largest announced in the A-share market to date**—to enhance shareholder returns. On the call, management reaffirmed a robust near-term demand outlook for 2H26 and 2027. Reiterate Buy.

Key numbers

- **Battery sales volume** was up +60% yoy to ~435GWh in 1H26 (vs. production: 498GWh), with ESS representing one-quarter of total. Implied 2Q26 sales volume was up +c.60% yoy to ~235GWh, sustaining the strong growth since 4Q25 (at ~60%).
- **Unit net profit** was Rmb97/kWh, down 7% qoq from Rmb104/kWh in 1Q26 and Rmb103/kWh in 4Q25, reflecting the raw material cost inflation and unfavorable mix shift.

Key takeaways

- **Demand:** Management remains upbeat on 2H26/2027 demand and reiterated 20-30% long-term volume CAGR.
- **Capacity:** Most capacity under construction (764GWh) should come online in the next 1-2 years, supporting growth amid high utilization and tight supply.
- **Sodium-ion:** Large orders and flexible production lines support faster commercialization, with cost improvement tied to scale.
- **AIDC BESS:** CATL expects AIDC-tailored power solutions to scale commercially over the next 1-2 years.
- **Policy:** Consumption tax and export VAT changes are expected

Key Data

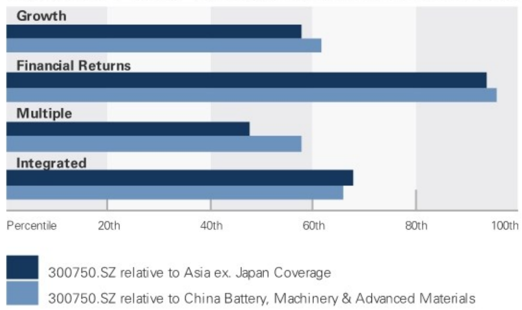
Market cap: Rmb1.8tr / $270.5bn
Enterprise value: Rmb1.6tr / $231.3bn
3m ADTV: Rmb14.3bn / $2.1bn
China
China Battery, Machinery & Advanced Materials
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	**423,701.8**	**598,596.9**	**712,248.9**	**787,315.3**
Revenue (Rmb mn) Old	423,701.8	611,723.6	728,340.7	804,085.7
EBITDA (Rmb mn)	100,832.9	136,728.3	169,419.5	196,913.8
EPS (Rmb) New	**16.04**	**20.19**	**24.77**	**28.88**
EPS (Rmb) Old	16.04	20.30	24.87	28.82
P/E (X)	18.5	19.0	15.5	13.3
P/B (X)	4.0	4.4	3.9	3.4
Dividend yield (%)	2.7	3.0	3.2	3.8
CROCI (%)	37.4	33.7	39.1	42.4

	3/26	6/26	9/26E	12/26E
EPS (Rmb)	4.40	4.79	5.16	5.84

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

BUY

CATL (300750.SZ)

Rating since Jul 9, 2026

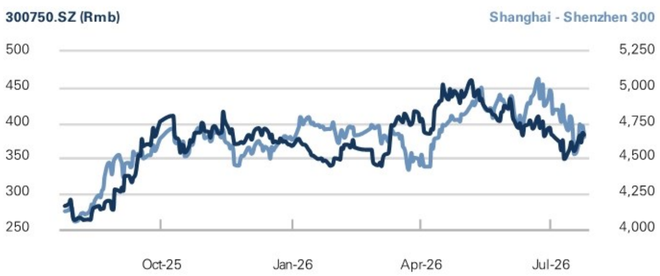
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.5	19.0	15.5	13.3
P/B (X)	4.0	4.4	3.9	3.4
FCF yield (%)	6.6	5.2	7.1	8.5
EV/EBITDAR (X)	11.4	11.3	8.8	7.1
EV/EBITDA (excl. leases) (X)	11.4	11.3	8.8	7.1
CROCI (%)	37.4	33.7	39.1	42.4
ROE (%)	24.7	25.3	26.6	27.1
Net debt/equity (%)	(58.4)	(67.0)	(74.9)	(82.7)
Net debt/equity (excl. leases) (%)	(58.4)	(67.0)	(74.9)	(82.7)
Interest cover (X)	27.2	41.2	44.6	48.1
Days inventory outst, sales	66.5	57.0	49.8	49.4
Receivable days	102.8	86.9	89.5	85.5
Days payable outstanding	269.9	242.0	249.3	258.4
DuPont ROE (%)	19.5	20.9	22.7	23.0
Turnover (X)	0.4	0.5	0.5	0.5
Leverage (X)	2.6	2.5	2.5	2.4
Gross cash invested (ex cash) (Rmb)	304,411.4	336,582.6	360,105.2	381,444.3
Average capital employed (Rmb)	130,023.9	152,481.1	140,964.8	117,591.7
BVPS (Rmb)	73.87	86.99	99.37	113.82

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	17.0	41.3	19.0	10.5
EBITDA growth	26.0	35.6	23.9	16.2
EPS growth	39.0	25.9	22.7	16.6
DPS growth	37.3	42.9	9.6	16.6
EBIT margin	17.5	17.1	17.9	18.9
EBITDA margin	23.8	22.8	23.8	25.0
Net income margin	17.0	15.9	16.6	17.5

Price Performance



	3m	6m	12m
Absolute	(13.9)%	10.4%	34.3%
Rel. to the Shanghai - Shenzhen 300	(11.7)%	11.6%	19.8%

Source: FactSet. Price as of 24 Jul 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	423,701.8	598,596.9	712,248.9	787,315.3
Cost of goods sold	(312,383.3)	(449,687.9)	(531,174.6)	(581,037.7)
SG&A	(15,401.9)	(19,155.1)	(21,367.5)	(22,832.1)
R&D	(22,146.6)	(27,535.5)	(32,407.3)	(35,429.2)
Other operating inc./(exp.)	463.5	403.5	487.8	806.3
EBITDA	**100,832.9**	**136,728.3**	**169,419.5**	**196,913.8**
Depreciation & amortization	(26,599.3)	(34,106.4)	(41,632.3)	(48,091.3)
EBIT	**74,233.6**	**102,621.9**	**127,787.2**	**148,822.6**
Net interest inc./(exp.)	7,860.6	7,514.2	9,695.0	12,553.5
Income/(loss) from associates	7,353.1	11,193.2	10,942.6	11,692.9
Pre-tax profit	**89,526.6**	**118,326.3**	**148,221.7**	**172,865.9**
Provision for taxes	(12,740.2)	(17,157.3)	(22,233.3)	(25,929.9)
Minority interest	(4,585.0)	(6,070.1)	(7,559.3)	(8,816.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**72,201.3**	**95,098.8**	**118,429.1**	**138,119.8**
Post-tax exceptionals	(7,693.4)	(9,517.7)	(11,253.5)	(12,439.6)
Net inc. (post-exceptionals)	**64,507.9**	**85,581.1**	**107,175.6**	**125,680.2**
EPS (basic, pre-except) (Rmb)	**16.04**	**20.19**	**24.77**	**28.88**
EPS (diluted, pre-except) (Rmb)	**16.04**	**20.19**	**24.77**	**28.88**
EPS (basic, post-except) (Rmb)	**14.33**	**18.17**	**22.41**	**26.28**
EPS (diluted, post-except) (Rmb)	**14.33**	**18.17**	**22.41**	**26.28**
DPS (Rmb)	7.91	11.30	12.38	14.44
Div. payout ratio (%)	49.3	56.0	50.0	50.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	333,512.9	418,619.2	521,588.8	637,434.1
Accounts receivable	120,988.6	163,999.1	185,379.8	183,347.4
Inventory	94,526.2	92,401.6	101,869.1	111,431.9
Other current assets	89,453.8	89,451.6	92,565.4	94,622.0
Total current assets	**638,481.5**	**764,471.6**	**901,403.1**	**1,026,835.4**
Net PP&E	176,133.7	205,320.9	226,204.1	225,189.2
Net intangibles	16,101.2	17,055.0	17,971.9	18,851.9
Total investments	81,181.2	92,974.4	104,517.0	116,809.9
Other long-term assets	62,929.9	61,097.7	59,942.2	59,213.5
Total assets	**974,827.6**	**1,140,919.6**	**1,310,038.3**	**1,446,899.8**
Accounts payable	263,606.0	332,645.8	392,923.7	429,808.7
Short-term debt	35,173.0	13,073.5	14,516.1	15,314.5
Short-term lease liabilities	–	–	–	–
Other current liabilities	100,847.0	116,560.3	141,696.8	153,308.8
Total current liabilities	**399,626.0**	**462,279.7**	**549,136.6**	**598,432.0**
Long-term debt	81,678.4	100,161.4	115,645.3	125,330.8
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	122,496.9	122,496.9	122,496.9	122,496.9
Total long-term liabilities	**204,175.2**	**222,658.3**	**238,142.2**	**247,827.6**
Total liabilities	**603,801.2**	**684,938.0**	**787,278.8**	**846,259.6**
Preferred shares	–	–	–	–
Total common equity	337,107.8	415,992.9	475,211.4	544,276.0
Minority interest	**33,918.6**	**39,988.7**	**47,548.0**	**56,364.2**
Total liabilities & equity	**974,827.5**	**1,140,919.6**	**1,310,038.3**	**1,446,899.8**
Net debt, adjusted	(216,661.5)	(305,384.3)	(391,427.3)	(496,788.8)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	76,786.3	101,169.0	125,988.5	146,936.0
D&A add-back	26,599.3	34,106.4	41,632.3	48,091.3
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	27,374.6	43,869.5	51,452.4	38,910.0
Other operating cash flow	2,459.8	(20,995.5)	(23,298.1)	(27,137.5)
Cash flow from operations	**133,220.0**	**158,149.3**	**195,775.0**	**206,799.8**
Capital expenditures	(42,344.6)	(62,415.2)	(62,276.8)	(47,227.6)
Acquisitions	(2,053.7)	–	–	–
Divestitures	27.4	–	–	–
Others	(50,105.0)	9,405.4	11,958.6	15,047.7
Cash flow from investing	**(94,475.8)**	**(53,009.9)**	**(50,318.3)**	**(32,179.9)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(34,923.0)	(54,034.5)	(59,210.6)	(69,055.3)
Inc/(dec) in debt	(11,912.0)	(173.0)	16,926.5	10,483.9
Other financing cash flows	38,091.7	34,174.3	(203.1)	(203.1)
Cash flow from financing	**(8,743.3)**	**(20,033.2)**	**(42,487.2)**	**(58,774.5)**
Total cash flow	**30,000.9**	**85,106.3**	**102,969.6**	**115,845.3**
Free cash flow	90,875.4	95,734.1	133,498.2	159,572.2

Source: Company data, Goldman Sachs Research estimates.

to have limited impact and favor industry leaders.

2Q26/1H26 Results Summary

Topline Performance

2Q26 revenue reached a record Rmb147.79bn (+57% yoy), 3% above GSe. 1H26 revenue was Rmb276.92bn (+55% yoy, +15% hoh). Segment details are as follows:

- **Power Battery:** 1H26 sales reached Rmb192.13bn (+46% yoy), supported by strong volume growth (+50% yoy). Estimated 2Q26 sales volume increased +46% yoy. Management highlighted a +5.6ppt domestic power battery market share expansion in 1H26 and a +3.7ppt yoy overseas market share gain in 5M26.
- **ESS:** 1H26 sales grew +88% yoy to Rmb53.26bn, with volume nearly doubling yoy to account for 25% of total sales volume (vs. 20% previously). Implied 2Q26 volume more than doubled yoy.
    - **Regional mix:** management mentioned **overseas shipments now account for nearly 50%.** Management highlighted order wins across Germany, Spain, Chile, Australia, and Malaysia (CATL acts as a system integrator), with **overseas order growth outpacing domestic**.
    - By product, battery sales contributed 60%+ of ESS segment sales, with the rest from system integration and supporting services.
    - **ASP Strategy:** Despite industry-wide price competition, CATL focuses on value over price, leveraging product safety, lifespan, performance, system integration, and comprehensive after-sales services to win clients.
- **Battery Recycling & Minerals:** 1H26 sales grew strongly by +67% yoy.
- **Geographic breakdown:** Robust growth was seen across both domestic (+61% yoy) and overseas (+42% yoy) markets.

Profitability

- **Margin: 2Q26 GPM of 23.2% (-2.4ppt yoy) was -1.2ppt below GSe.** Management attributed GPM contraction to product mix shift and raw material cost inflation. Looking ahead, management shared cost inflation could be passed downstream through metal-cost-linked pricing mechanism.
- **2Q26 EBITM was 17.2% (-0.2ppt yoy), +0.8ppt above GSe, with EBIT of Rmb25.48bn (+55% yoy) +8% above GSe**. It was mainly supported by lower-than-expected opex (opex ratio down to a historical-low level) from lower admin expenses and impairment losses, higher investment gains (mostly FX hedging activities), partially offset by lower other non-operating profit.
- **1H26 EBITDA reached a record Rmb64.98bn, +54% yoy/+11% hoh.**
- **Net Profit:** Below the EBIT line, net finance income was Rmb693mn vs. Rmb3.53bn in 2Q25 due to unfavorable FX movements (FX loss estimated at -Rmb1.1bn vs. Rmb1.6bn gain in 2Q25). Consequently, **2Q26 NP of Rmb22.55bn (+36% yoy, a record high) was -2% slightly below GSe, with NPM at 15.3% (-2.3ppt yoy, -0.7ppt below GSe)**. 1H26 NP was Rmb43.28bn (+42% yoy, +4% hoh), with NPM at

15.6% (-1.4ppt yoy).

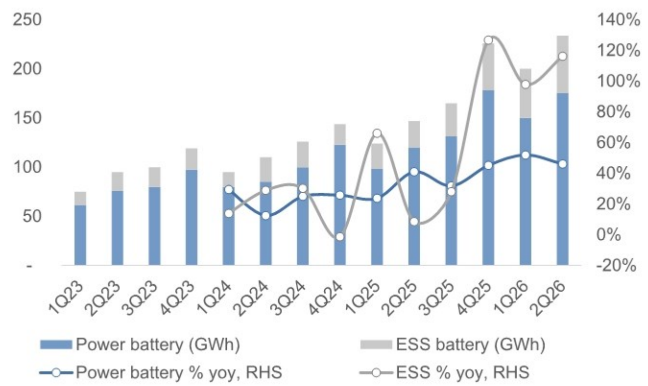
- **Unit margin:** We estimate unit net profit for the quarter was Rmb97/kWh, down -7% qoq from Rmb104/kWh in 1Q26 (Rmb103/kWh in 4Q25).

Balance Sheet & Cash Flow

- **Cash Flow:** 2Q26 operating cash flow was solid at Rmb26.54bn (+3% yoy), representing 1.2x of NP. Offset by capex of Rmb12.66bn (+28% yoy), 2Q26 FCF was Rmb13.88bn (-13% yoy). Net cash remained strong at Rmb226.38bn (vs. Rmb228.19bn in 1Q26).

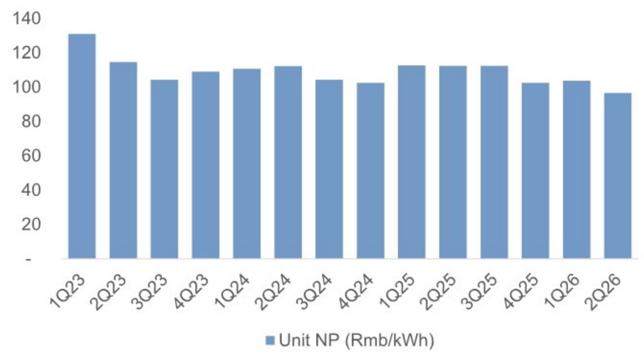
- **Shareholder Returns:** CATL announced an interim dividend of Rmb6.49bn (Rmb1.41/share). Additionally, the company announced a new A-share buyback plan of Rmb20-40bn (the largest in A-share history) to repurchase and cancel shares, reducing registered capital and boosting EPS.

Exhibit 1: CATL saw c.60% yoy volume growth in 2Q26, on doubled yoy ESS and solid power battery
CATL quarterly sales volume and yoy chg%



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: 2Q26 recorded unit net profit of Rmb97/kWh, down -7% qoq from Rmb104/kWh in 1Q26 (Rmb103/kWh in 4Q25)
CATL quarterly unit NP trend



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: CATL results summary

Rmb in millions (PRC GAAP)	2023A	2024A	2025A	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	1H24	2H24	1H25	2H25	1H26
P&L																		
Revenue	**400,917**	**362,013**	**423,702**	**79,771**	**86,996**	**92,278**	**102,968**	**84,705**	**94,182**	**104,186**	**140,630**	**129,131**	**147,786**	**166,767**	**195,246**	**178,886**	**244,816**	**276,917**
yoy (%)	*22%*	*-10%*	*17%*	*-10%*	*-13%*	*-12%*	*-3%*	*6%*	*8%*	*13%*	*37%*	*52%*	*57%*	*-12%*	*-8%*	*7%*	*25%*	*55%*
Gross Profit	91,847	88,494	111,319	18,548	20,561	25,583	23,801	20,674	24,088	26,882	39,674	32,045	34,217	39,110	49,384	44,763	66,556	66,262
yoy (%)	*38%*	*-4%*	*26%*	*-2%*	*-7%*	*8%*	*-13%*	*11%*	*17%*	*5%*	*67%*	*55%*	*42%*	*-4%*	*-3%*	*14%*	*35%*	*48%*
GP margin%	22.9%	24.4%	26.3%	23.3%	23.6%	27.7%	23.1%	24.4%	25.6%	25.8%	28.2%	24.8%	23.2%	23.5%	25.3%	25.0%	27.2%	23.9%
Operating Expense	(52,576)	(43,213)	(49,460)	(8,856)	(9,310)	(13,390)	(11,656)	(10,091)	(10,849)	(11,066)	(17,453)	(11,565)	(11,667)	(18,166)	(25,046)	(20,940)	(28,520)	(23,233)
yoy (%)	*37%*	*-18%*	*14%*	*-15%*	*-28%*	*4%*	*-29%*	*14%*	*17%*	*-17%*	*50%*	*15%*	*8%*	*-22%*	*-14%*	*15%*	*14%*	*11%*
Other gains/losses (net)	5,970	10,026	12,375	3,155	2,251	1,571	3,048	3,034	3,152	2,928	3,260	3,455	2,930	5,407	4,620	6,186	6,188	6,385
EBIT	**45,241**	**55,307**	**74,234**	**12,847**	**13,503**	**13,764**	**15,194**	**13,618**	**16,392**	**18,744**	**25,481**	**23,934**	**25,480**	**26,350**	**28,957**	**30,009**	**44,224**	**49,414**
yoy (%)	*45%*	*22%*	*34%*	*17%*	*25%*	*12%*	*35%*	*6%*	*21%*	*36%*	*68%*	*76%*	*55%*	*21%*	*23%*	*14%*	*53%*	*65%*
EBIT margin%	11.3%	15.3%	17.5%	16.1%	15.5%	14.9%	14.8%	16.1%	17.4%	18.0%	18.1%	18.5%	17.2%	15.8%	14.8%	16.8%	18.1%	17.8%
Net Finance Expense	**4,928**	**4,132**	**7,940**	**(313)**	**1,496**	**1,711**	**1,238**	**2,288**	**3,534**	**1,194**	**924**	**(62)**	**693**	**1,183**	**2,948**	**5,822**	**2,118**	**631**
yoy (%)	*76%*	*-16%*	*92%*	*-167%*	*-44%*	*-229%*	*-60%*	*-831%*	*136%*	*-30%*	*-25%*	*-103%*	*-80%*	*-63%*	*67%*	*392%*	*-28%*	*-89%*
Income Tax Expense	(7,153)	(9,175)	(12,740)	(2,005)	(2,567)	(2,416)	(2,188)	(2,513)	(3,934)	(1,968)	(4,325)	(3,944)	(4,792)	(4,571)	(4,604)	(6,447)	(6,293)	(8,736)
Minority Interest	(2,640)	(3,262)	(4,585)	(686)	(1,328)	(718)	(530)	(899)	(981)	(1,382)	(1,322)	(2,000)	(1,747)	(2,014)	(1,248)	(1,880)	(2,705)	(3,747)
Net Profit Attributable to Common Shareholders	**44,121**	**50,745**	**72,201**	**10,510**	**12,355**	**13,136**	**14,744**	**13,963**	**16,523**	**18,549**	**23,167**	**20,738**	**22,546**	**22,865**	**27,880**	**30,485**	**41,716**	**43,284**
yoy (%)	*44%*	*15%*	*42%*	*7%*	*13%*	*26%*	*14%*	*33%*	*34%*	*41%*	*57%*	*49%*	*36%*	*10%*	*19%*	*33%*	*50%*	*42%*
NP margin%	11.0%	14.0%	17.0%	13.2%	14.2%	14.2%	14.3%	16.5%	17.5%	17.8%	16.5%	16.1%	15.3%	13.7%	14.3%	17.0%	17.0%	15.6%
EPS (Rmb/share)	14.89	11.53	16.04	2.39	2.67	2.84	3.19	3.10	3.67	4.12	5.15	4.50	4.89	5.20	6.34	6.77	9.27	9.40
yoy (%)	*14%*	*-23%*	*39%*	*-28%*	*8%*	*23%*	*13%*	*30%*	*37%*	*45%*	*61%*	*45%*	*33%*	*-26%*	*-20%*	*30%*	*46%*	*39%*
B/S and C/F																		
Total debt	124,876	135,739	116,851	132,479	133,407	128,870	135,739	135,536	139,428	127,184	116,851	123,805	145,671	133,407	135,739	139,428	116,851	145,671
Total cash	264,307	303,512	333,513	288,572	255,002	264,676	303,512	321,324	350,578	324,242	333,513	351,997	372,053	255,002	303,512	350,578	333,513	372,053
Net debt/(cash)	**(139,431)**	**(167,773)**	**(216,662)**	**(156,093)**	**(121,595)**	**(135,806)**	**(167,773)**	**(185,787)**	**(211,150)**	**(197,058)**	**(216,662)**	**(228,193)**	**(226,382)**	**(121,595)**	**(167,773)**	**(211,150)**	**(216,662)**	**(226,382)**
yoy (%)	*53%*	*20%*	*29%*	*50%*	*17%*	*21%*	*20%*	*19%*	*74%*	*45%*	*29%*	*23%*	*7%*	*17%*	*20%*	*74%*	*29%*	*7%*
Net Gearing (%)	**-63.4%**	**-61.4%**	**-58.4%**	**-67.7%**	**-55.3%**	**-51.6%**	**-61.4%**	**-64.3%**	**-65.1%**	**-56.8%**	**-58.4%**	**-57.9%**	**-54.7%**	**-55.3%**	**-61.4%**	**-65.1%**	**-58.4%**	**-54.7%**
Op-CF	**92,826**	**96,990**	**133,220**	**28,358**	**16,351**	**22,735**	**29,547**	**32,868**	**25,819**	**21,973**	**52,560**	**33,681**	**26,536**	**44,709**	**52,281**	**58,687**	**74,533**	**60,217**
yoy (%)	*52%*	*4%*	*37%*	*35%*	*2%*	*46%*	*-26%*	*16%*	*58%*	*-3%*	*78%*	*2%*	*3%*	*21%*	*-6%*	*31%*	*43%*	*3%*
Capex	(33,625)	(31,180)	(42,345)	(7,082)	(6,749)	(7,438)	(9,912)	(10,343)	(9,870)	(9,875)	(12,257)	(12,416)	(12,656)	(13,830)	(17,350)	(20,213)	(22,132)	(25,073)
FCF	59,201	65,810	90,875	21,276	9,602	15,296	19,635	22,526	15,949	12,099	40,303	21,265	13,880	30,879	34,932	38,474	52,401	35,144

Source: Company data

Earnings revisions

Post results, we fine-tuned our estimates and keep our 2026E-28E EPS estimates largely unchanged. We reiterate Buy with a slightly tweaked 12-m TPs of HK$947/Rmb565 for H- and A-shares.

Exhibit 4: Earnings revision summary

	Target Price	Revenue			Net profit			EPS		
	(RMB/share)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
CATL (300750.SZ/3750.HK)										
Gse	**RMB 565.00/HKD 947.00**	**598,597**	**712,249**	**787,315**	**95,099**	**118,429**	**138,120**	**20.19**	**24.77**	**28.88**
Old	RMB 566.00/HKD 946.00	611,724	728,341	804,086	95,630	118,934	137,841	20.30	24.87	28.82
% diff	*-0.2%0.1%*	*-2%*	*-2%*	*-2%*	*-1%*	*0%*	*0%*	*-1%*	*0%*	*0%*
Wind Consensus		592,288	719,969	854,943	94,508	116,215	139,788	20.43	25.12	30.21
% diff		*1%*	*-1%*	*-8%*	*1%*	*2%*	*-1%*	*-1%*	*-1%*	*-4%*

Source: Wind, Company data, Goldman Sachs Global Investment Research

Earnings Call Takeaways

Demand Outlook

- Management remains optimistic about demand in 2H26 and 2027, noting that 1H26 capacity was fully utilized and the company has actively built inventory for 2H26.
- Management reiterated its long-term demand expectation of 20-30% volume CAGR over the next five years, with higher growth expectation in the near term.
- Management highlighted strong momentum in Europe across EV penetration and BESS adoption while EMs have also seen fast growth in ESS adoption.

Capacity Expansion

- Management indicated that most capacity under construction, totaling 764GWh by end-1H26, will come online over the next 1-2 years, though not all capacity is guaranteed to be operational by 2027.
- Capacity utilization remains high, and current capacity constraints limit the company’s ability to fully meet customer demand, prompting proactive expansion to support long-term electrification growth.

Sodium-ion battery

- **Orders & supply chain:** Management noted that CATL’s sodium-ion batteries have secured large orders from domestic and overseas customers. Production lines and upstream supply chains are being developed in parallel. Management also highlighted that production lines can flexibly switch between lithium and sodium batteries, enabling rapid capacity expansion if demand exceeds expectations.
- **Cost & performance:** While sodium-ion cell cost competitiveness remains highly dependent on lithium carbonate prices, the technology offers distinct performance advantages, including wide temperature tolerance, superior low-temperature performance, and strong cycle life. With large-scale domestic and overseas orders secured, costs are expected to decline gradually as commercial mass production scales.

AIDC BESS Business

- Management highlighted that CATL will leverage its expertise in energy storage, medium-voltage power electronics, and grid integration to deliver end-to-end power solutions. These **solutions span from high-voltage grid connections down to server-room backup power, encompassing both equipment and complete power supply systems**.
- Management shared AIDC serves as a critical component of company's zero-carbon solution strategy. Management **expects AIDC-tailored power solutions to achieve large-scale commercial deployment over the next 1 to 2 years.**

Policy Impacts (Consumption Tax & Export VAT)

- Management mentioned both consumption tax and export VAT rebate policies favor industry leaders and support long-term orderly development of the industry. CATL is negotiating cost-sharing with downstream customers. Overall, **management sees limited impact.**

Investment Thesis - CATL

CATL is the world's largest battery manufacturer, underpinned by leading scale, battery technology, and cost competitiveness. Its EV battery business remains a solid earnings anchor, supported by structurally expanding demand and a more resilient market-share trajectory following its recent share recovery. More importantly, CATL's transition from cells to integrated energy solutions, supported by its battery expertise and strategic ecosystem build-out, should open the next leg of value creation, as battery energy storage systems (BESS) integration enables share consolidation, higher project value capture, recurring service revenue, stronger margins, and a potential valuation rerating.

Price Target Risks and Methodology - CATL

Valuation methodology: We apply a SoTP framework to reflect CATL's distinct power battery and BESS growth profiles, BESS-led rerating potential, and ecosystem investments. For CATL-A, we value power batteries at 11x 2026-27E EBITDA and BESS using a discounted 2030E EV/EBITDA approach with an 18x exit multiple. For CATL-H, we use a global framework, valuing power batteries at 20x EV/EBITDA and BESS at a 25x 2030E exit multiple, reflecting CATL's superior ROIC, global leadership, and scarcity value. This yields 12-month TPs of HK$947/Rmb565 and implies a 54% H-share premium versus A-shares.

Key risks: 1) slower-than-expected global EV demand growth; 2) weaker-than-expected global ESS demand growth; 3) unexpected rise in raw material costs, mainly battery metals; 4) slower-than-expected progress in BESS integration; 5) execution and trade-policy risks in overseas expansion; 6) more intense-than-expected competition in power and ESS batteries.

Disclosure Appendix

Reg AC

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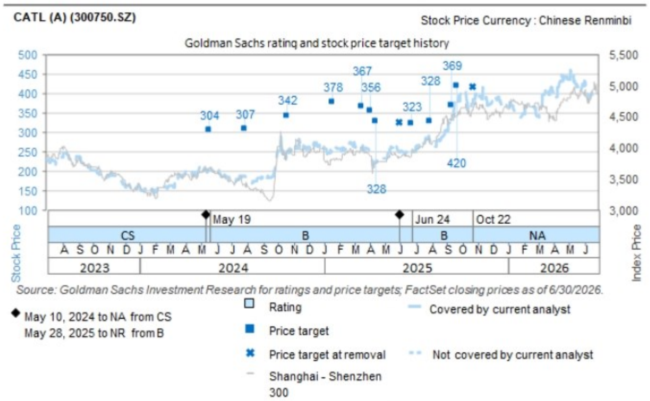
Price target and rating history chart(s)



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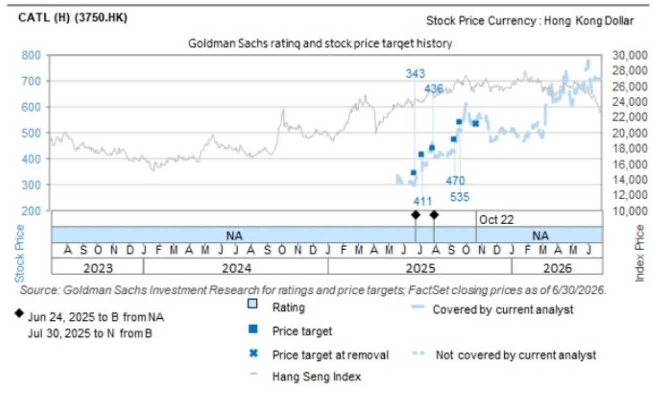

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Target price history table(s)

CATL (A) (300750.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
08-Jul-26	566.00	361.00
21-Sep-25	420.00	368.49
11-Sep-25	369.00	322.55
30-Jul-25	328.00	277.09
24-Jun-25	323.00	245.92
14-Apr-25	328.00	224.00
04-Apr-25	356.00	243.08
16-Mar-25	367.00	262.00
19-Jan-25	378.00	251.50
20-Oct-24	342.00	249.89
28-Jul-24	307.00	189.35
19-May-24	304.00	203.00

CATL (H) (3750.HK)

Date of report	Target price (HK$)	Closing price (HK$)
08-Jul-26	946.00	628.00
21-Sep-25	535.00	515.50
11-Sep-25	470.00	428.80
30-Jul-25	436.00	426.60
09-Jul-25	411.00	385.00
24-Jun-25	343.00	303.00

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